

against the budgeted 4.9%.

For FY26, the government has kept the fiscal deficit target at 4.4% of GDP and capex has been increased by a modest 10% over the RE to ₹11.21 lakh crore and total expenditure at ₹50.6 lakh crore. The Budget also outlined a new fiscal consolidation road map that would aim to lower the central government's debt to about 50% of GDP between FY27 and FY31.

Capex loans to states have been retained at ₹1.5 lakh crore. An amount of ₹26,549 crore has been allocated for solar energy and the Ministry of New and Renewable Energy, which is 53.48% higher than the ₹17,298 crore allocated in FY25 (RE).

"The revenue expenditure is slightly on the lower trajectory, but capex growth has been quite handsome. The effective capital expenditure will increase to ₹15.48 lakh in FY26 from ₹13.18 lakh crore in FY25, which is about a 17% growth. It is less than the 25-30% growth in the last few years, yes, but that was in the context of Covid," says Expenditure Secretary Manoj Govil.

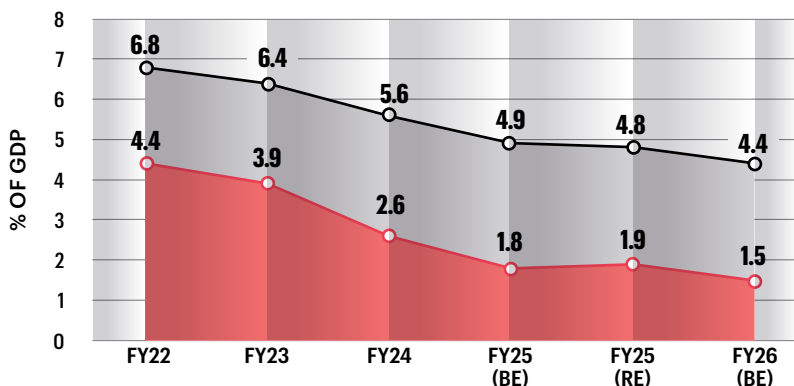
But the revenue numbers seem to have raised more questions with tax collections, especially on the direct tax side, and disinvestment receipts seen to be a tad too optimistic.

Gross tax collections are estimated to rise by 10.9% in the Budget Estimates of FY26 to ₹42.7 lakh crore from the Revised Estimates of ₹38.5 lakh crore for FY25. Within tax revenue, direct taxes are budgeted to grow at a higher rate than the nominal GDP, at a buoyancy of 1.3x as against 1.5x in the RE of FY25. Corporate tax growth is estimated to grow by 10.4% in FY26, despite a 7.6% growth in FY25 to ₹9.8 lakh crore (lower than the BE of ₹10.2 lakh crore). Personal income tax collections are estimated to rise 14.4% to ₹14.38 lakh crore in FY26 from ₹12.57 lakh crore in the RE of FY25, despite forgoing an estimated ₹1 lakh crore due to the tax cut. It is estimated to grow by 20.3% this fiscal.

The Centre has also pencilled in ₹2.56 lakh crore as dividend from the Reserve Bank of India and public sector

SOFTER PACE OF FISCAL CONSOLIDATION

- The Centre's revised fiscal deficit target for FY25 was 4.8% of the GDP as against the Budgeted 4.9%
- For FY26, it has set a fiscal deficit target of 4.4% of the GDP



—○— FISCAL DEFICIT —○— REVENUE DEFICIT

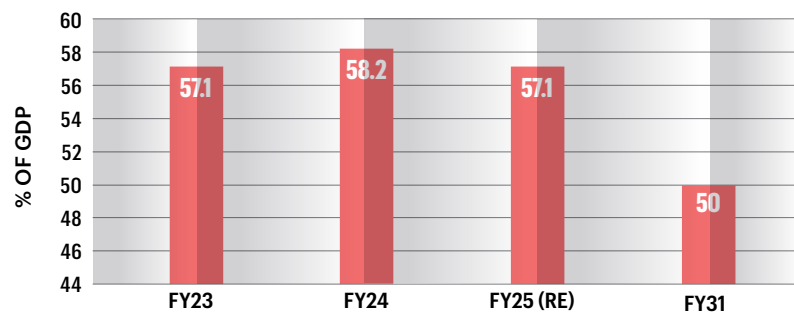
BE BUDGET ESTIMATES; RE REVISED ESTIMATES

SOURCE BUDGET DOCUMENTS

NEW FISCAL CONSOLIDATION PLAN UNVEILED

- The Centre hopes to lower its debt to 50% of GDP
- This is expected to happen in the FY27 to FY31 period

CENTRAL GOVERNMENT DEBT



RE REVISED ESTIMATES

SOURCE BUDGET DOCUMENTS

banks in FY26 and ₹47,000 crore from disinvestment and asset monetisation.

"For the first time in many years, the Centre's receipt forecasts look aggressive. There are two reasons: with higher tax re-

bates, budgeted growth of 14.4% year-on-year in personal income taxes looks optimistic, and a growth of 12.3% in dividends may be a challenge even if the RBI transfers dividends worth ₹2 lakh crore. Overall, we believe there